PROJECT SUMMARY · ECONOMIC STATISTICS

Purchasing Power in Italy, 2016–2024: Structural Gaps, Inflation Shocks and Persistent Inequality

Sofia Menegozzo · BSc Statistics and Information Management, University of Milano-Bicocca

+25%
nominal income per capita

+4%
real income per capita

≈ €7,500
real-income gap, North-West vs South

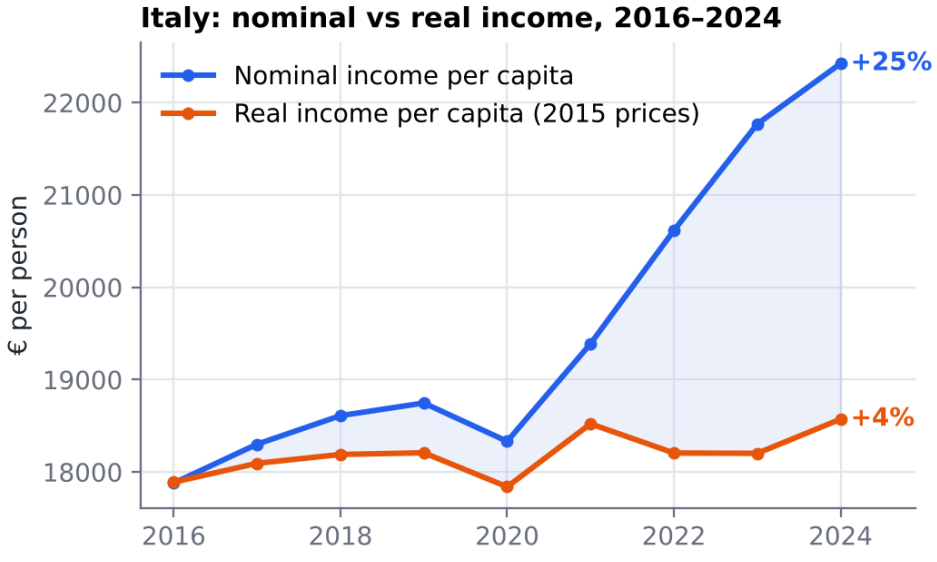
8.1%
households in absolute poverty, 2024 (5.4% in 2016)

Question

How has the purchasing power of Italian households changed between 2016 and 2024, a period that includes the COVID-19 recession and the 2022–2023 inflation shock? And did these shocks narrow or widen the long-standing gap between Northern and Southern Italy? The study links income, prices, unemployment, poverty and inequality at national, macro-area and regional level.

Data and methods

Official ISTAT series (household disposable income, resident population, consumer price index NIC, unemployment, absolute and relative poverty) and the Eurostat Gini index. Where ISTAT does not publish a figure for the South as a whole, it was rebuilt from the South and Islands series using population weights. Raw data were cleaned in Python; integration, derived indicators (per-capita and real income, inflation, growth rates, a composite well-being index), statistical tests, PCA and clustering were done in R, and regional maps with QGIS.

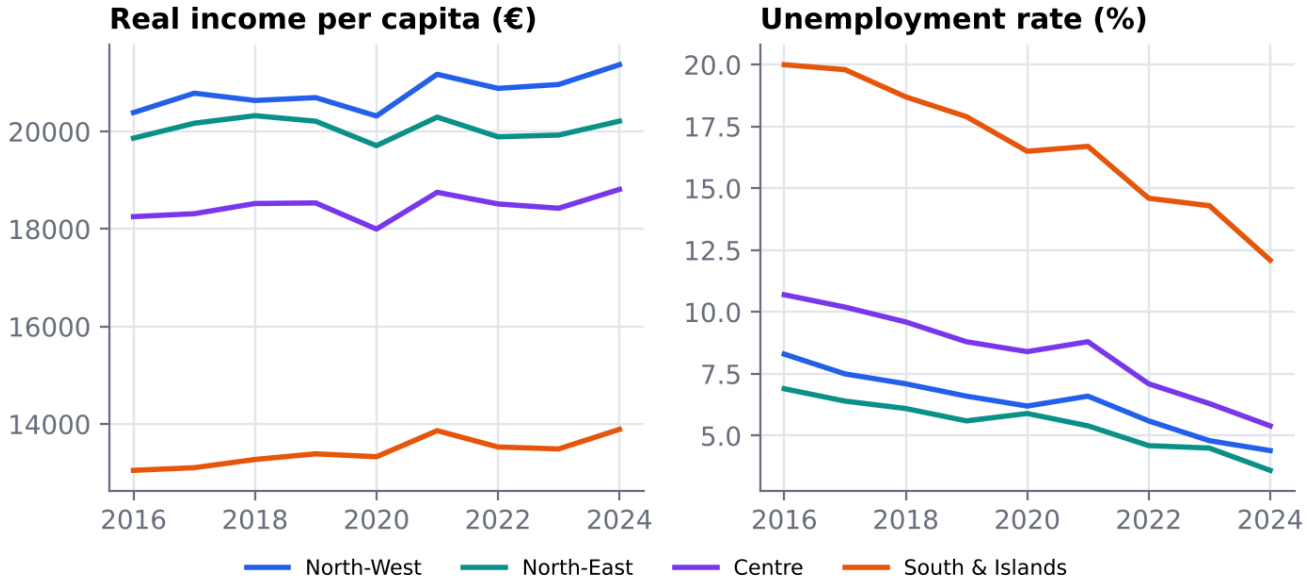


Nominal and inflation-adjusted disposable income per person.

Key findings

- **Growth was mostly nominal.** Income per person rose from about €17,900 to €22,400, but in real terms only from €17,900 to €18,600. The gap opened in 2022–2023, when prices rose by 8.2% and 5.6% and nominal gains no longer kept up.

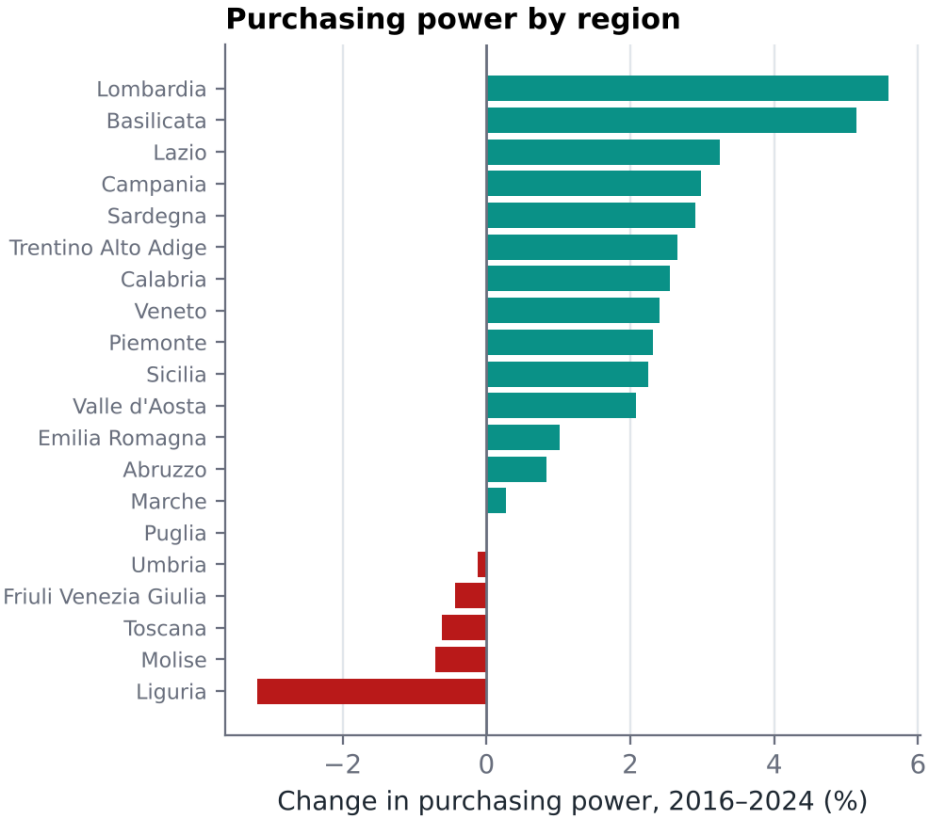
- **The North–South divide did not close.** Real income in the South grew faster in percentage terms (CAGR 0.78% vs 0.59% in the North-West), consistent with β-convergence, but from such a low base that the absolute gap widened slightly, from €7,337 to €7,478. Trend tests (Mann–Kendall, regression on time) find no significant change: the gap is stable. Dispersion across macro-areas (σ-convergence) barely moved.
- **Unemployment fell everywhere**, nationally from 11.4% to 6.6% and in the South from 20.0% to 12.1%, yet Southern unemployment remains three times the North-East's.
- **Poverty spread north.** Absolute poverty nearly doubled in the North-West (5.4% → 8.1%) and North-East (4.9% → 7.6%), while the South remains highest (10.5%). Inequality was flat: the Gini index stayed around 32.6.
- **Labour market and poverty move together.** Nominal income and unemployment correlate at $r = -0.94$; unemployment and absolute poverty at $r = -0.88$ ($p < 0.001$). The real-income link is weaker ($r = -0.46$), as inflation blurs it.



Real income per capita and unemployment by macro-area.

Territorial patterns

K-means and hierarchical clustering on the four macro-areas agree on three groups: the North (North-West and North-East), the Centre on its own, and the South. A PCA shows that a single component explains 98.6% of the variance, an economic-development axis that combines high income with low unemployment. At regional level, the change in purchasing power between 2016 and 2024 ranges from +5.6% in Lombardy and +5.2% in Basilicata to −3.2% in Liguria; clustering separates Lombardy on its own, a group of dynamic regions, and groups with weak or negative growth.



Change in regional purchasing power (disposable income deflated by the regional price index).

Limitations

- The general price index does not reflect the higher inflation actually experienced by low-income households, so real losses for the poorest are likely understated.
- Macro-area aggregates hide differences within each area, and with only four units the macro-area clustering is descriptive.
- The analysis describes associations; it does not identify causes such as productivity, sector mix or institutional factors.

> English summary of the full report, which is written in Italian (potere_d'acquisto.pdf). Charts in this summary were redrawn with English labels from the figures reported in the analysis.